

**DIPLOMA EXAMINATION IN CABM
WORKING CAPITAL MANAGEMENT**

MODEL QUESTION PAPER

(Maximum marks: 100)

(Time: 3 hrs.)

Marks

PART – A

(Maximum marks: 10)

I Answer all questions in one or two sentences. Each question carries 2 marks.

1. State the term working capital.
2. State the meaning of ratio analysis.
3. Define the term 'Fund'.
4. Point out the term cash flow statement.
5. State the meaning of bank overdraft. .

(5*2=10)

PART -B

(Maximum marks: 30)

II Answer any 5 questions from Part- B. Each question carries 6 marks.

1. List out the factors affecting working capital.
2. Explain Financial ratios.
3. Discuss the sources of funds.
4. State the significance of cash flow analysis.
5. Point out the advantages of bank overdraft.
6. Explain the effects of sale of fixed assets.
7. Identify the importance of financial analysis.

(5*6=30)

PART –C

(Maximum marks: 60)

(Answer one full question from each module. Each question carries 15 marks)

MODULE-I

III (a) Analyze the sources of working capital. (8)

(b) Explain the features of discounting of bill of exchange. (7)

OR

IV (a) Describe the hedging approach to working capital. (7)

(b) Explain the Operating Cycle. (8)

MODULE-II

V (a) Illustrate Common size financial statements. (8)

(b) Identify the users of financial analysis. (7)

OR

VI (a) Explain Liquidity ratios. (8)

(b) Identify the tools used for financial analysis (7)

MODULE- III

VII (a) List out how to prepare fund flow statement. (7)

(b) Explain importance of Fund Flow statement. (8)

OR

VIII Mention the difference between fund flow statement & earning statement. (15)

MODULE-IV

IX Point Out the difference between cash flow statement & fund flow statement. (15)

OR

X (a) Identify the application of cash. (8)

(b) Describe how to ascertain cash from operation. (7)